IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH-II, CHENNAI

CP(CAA)/68(CHE)/2022

In

CA(CAA)/4(CHE)/2022

(filed under Section 230-232 of the Companies Act, 2013)

In the matter of Scheme of Amalgamation

of

CUNINGHAM VENTURES PRIVATE LIMITED
U70109TN2021PTC146353
88 Mount Road Guindy
Chennai -600032

... Petitioner/Transferor Company - 1

SAHOJ VENTURES PRIVATE LIMITED
U70109TN2021PTC146355
88 Mount Road Guindy
Chennai -600032

... Petitioner/Transferor Company - 2

WILLINGDON VENTURES PRIVATE LIMITED
U70100TN2021PTC146402
88 Mount Road Guindy
Chennai -600032

... Petitioner/Transferor Company – 3

MERCANTILE VENTURES LIMITED
L65191TN1985PLC037309
88 Mount Road Guindy
Chennai- 600032

... Petitioner/Transferee Company

And

Their Respective Shareholders & Creditors

Order Pronounced on ***28th June 2023***

CORAM

SANJIV JAIIN, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMEBR (TECHNICAL)

Appearances:

For Petitioners	*: Ms. B. Chandra, PCS*
For RD/RoC	*: Mr. Avinash Krishnan Ravi, Advocate*
For Income Tax	*: Mr. S. Rajesh, Advocate*
For Official Liquidator	*: Mr. Palani, Estate Assistant*

ORDER

Per: SAMEER KAKAR, MEMBER (TECHNICAL)

The hearing of this Petition was conducted through video conferencing platform.

CP(CAA)/68(CHE)/2022 is a joint Company Petition filed by the Petitioner Companies viz., **CUNINGHAM VENTURES PRIVATE LIMITED** *(for brevity "Transferor Company -1")* and **SAHOJ VENTURES PRIVATE LIMITED** *(for brevity "Transferor Company -2")* and **WILLINGDON VENTURES PRIVATE LIMITED** *(for brevity "Transferor Company -3")*, and **MERCANTILE VENTURES LIMITED** *(for brevity "Transferee Company")* under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Petitioner Companies with its Shareholders. The said Scheme is appended as Annexure '3' to the Petition.

2. The Scheme of Amalgamation as contemplated between the Petitioner Companies involves, *"amalgamation of Transferor Company 1, 2 & 3 into and with the Transferee Company;"*

3. RATIONALE OF THE SCHEME

It is stated that the amalgamation of the Transferor Company with the Transferee Company will result in various benefits for the parties including,

- *All the transferee companies are wholly owned subsidiaries of the transferee Company and for ease of operations, they propose the scheme of amalgamation.*
- *Integrate, rationalize and streamline the management structure of the merged business.*
- *Combined resources would strengthen the position of the merged entity and result in increasing leveraging capacity of the merged entity*
- *The amalgamation will ensure focused management in a single combined entity thereby resulting in efficiency of management and maximizing overall shareholder value.*
- *Pooling of available infrastructure, management, administration and marketing which would result in savings of costs.*
- *Amalgamation of the companies would eliminate duplication of work, compliance cost, administrative services and will result in cost savings.*
- *Facilitate inter se transfer of resources and costs and optimum utilization of Assets.*
- *Synchronizing of efforts to achieve uniform corporate policy.*
- *Base in decision making.*

4. 1ST MOTION APPLICATION

4.1 The Petitioner Companies had filed a joint First Motion Application vide CA(CAA)/4/CHE/2022. Based on such application moved under Sections 230-232 of the Companies Act, 2013 directions were issued by this Tribunal, vide Common order dated 13.04.2022, for holding/dispensation of meeting as follows;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS	RENT DEPOSIT HOLDERS
TRANSFEROR COMPANY-1	Dispensed with	*NA**	Dispensed with	*NA**
TRANSFEROR COMPANY-2	Dispensed with	*NA**	Dispensed with	*NA**
TRANSFEROR COMPANY-3	Dispensed with	*NA**	Dispensed with	*NA**
TRANSFEREE COMPANY	***To Convene Meeting***	*NA**	*NA**	Dispensed with

**NA- Not Applicable.*

4.2 Subsequent to the said order dated 13.04.2022, meeting of the Equity Shareholders of the Transferee Company was conducted. The chairperson appointed filed the reports of the said meeting before the registry and the same was taken on record. Subsequent to the said report, the petitioner companies filed the joint Company Petition before this Tribunal. Thereafter, on 28.07.2022, this Tribunal passed an order directing issuance of notice to the Sectoral Regulators and Authorities concerned and for publication in 'Business Standard' (English-All India Edition) and 'Makkal Kural' (Tamil-Tamil Nadu Edition).

4.3 Pursuant to the said directions, notices were served on the Sectoral Regulators and other Authorities on 30.09.2022 by the Petitioner Companies and the publications as directed were made on 12.10.2022 by the Petitioner Companies. Individual Affidavit of service confirming the services and publications is placed on record vide Sr. no. 5769/21.10.2022.

5. STATUTORY AUTHORITIES

5.1. REGIONAL DIRECTOR

5.1.1 The Regional Director Southern Region, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued, filed his Report dated 12.10.2022 before the Tribunal stating that they have *decided not to make any objection to the Scheme and that this National Company Law Tribunal Bench at Chennai may dispose of the matters on merits and pass such order/orders as deemed fit & proper.*

5.1.2 It is seen from the report of RoC, Chennai that, the Petitioner Companies have filed their statutory returns up to 31.03.2021 and reported that no prosecution / Inspection or Investigation is pending against the Companies involved in the Scheme.

5.2 OFFICIAL LIQUIDATOR

5.2.1 The Official Liquidator, *(hereinafter referred to as 'OL)* Chennai to whom the notice was issued, filed his Report on 17.04.2023 and has reported that having examined the books of accounts and records, other documents, annual reports and statutory books and registers, M/s. M.R. Narain & Co., Chartered Accountants have observed that, the affairs of the Transferor Companies 1, 2 & 3 have not been conducted in a

manner which is prejudicial to the interest of members or to public interest. The Chartered Accountants have further reported that there is no siphoning of funds by MCC and that they have not come across with any transactions involving act of misfeasance, which would attract the provisions of the Companies Act, 2013.

5.2.2 The report is taken on record. This Tribunal directs the Transferor Companies 1, 2 & 3 to pay a sum of ***Rs. 1,00,000/-*** *(Rupees one lakh only)* + ***GST*** to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Companies.

5.3 INCOME TAX DEPARTMENT

5.3.1 The Deputy Commissioner of Income Tax, Corporate Circle -4(1), Chennai to whom the notice was issued, has filed his observation along with the outstanding demands as follows,

A.Y.	Section	Demand
2014-15	143(3)	Rs. 6,19,720/-
2015-16	154	Rs. 39,09,890/-
2016-17	143(3)	Rs. 14,80,566/-
2017-18	263	Rs. 18,96,400/-
2018-19	143(1a)	Rs. 64,99,810/-
2019-20	143(1a)	Rs. 8,28,680/-

In this regard, it is requested that assurance to pay the demand with interest u/s. 220(1) by Company M/s. Mercantile Ventures Private Limited should be made.

In response to the same, the Petitioner Company (Transferee) has undertaken to clear the dues. It has filed citations stating that their undertaking to discharge the pending dues would suffice this Tribunal to sanction the scheme. Moreover, those are dues pertaining to the Transferee Company as such, the department is open to proceed further as per law.

5.3.2 In spite of notice having been served to Corporate Circle 1(3) CHE Range Code 253, Corporate Ward 2(3) Range Code 251, Corporate Circle 1 (3) Range Code 256 on 30.09.2022, there is neither any representation nor any report filed by the said authorities. In the said circumstances as per section 230(5) of the Companies Act, 2013, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

5.3.3 In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi with a view to protect the interest of the revenue, has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of

Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

6. ACCOUNTING TREATMENT

The Learned Counsel for the Petitioner companies submits that the Statutory Auditor of the Petitioner companies have examined the Scheme and individually certified that the Petitioner companies have complied with proviso to Section 230 - 232 and the Accounting Treatment contained in the proposed Scheme of Amalgamation is in compliance with the Applicable Indian Accounting Standards notified under section 133 of the Companies Act, 2013 read with the rules made there under and other generally accepted accounting principles in India. The Certificates issued by the Statutory Auditor certifying the Accounting Treatment of the Petitioner Companies is placed vide Additional Document in Sr. 655/10.02.2023.

7. OBSERVATIONS OF THIS TRIBUNAL

7.1. After analysing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the Petitioner Companies *prima facie* would not be in any way

detrimental to the interest of the shareholders of the Companies.

7.2 From the report of the RD we understand that no investigation proceedings are pending against the Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

7.3 The Scheme does not require any modification as it appears to be fair and reasonable, not contrary to public policy and also not violative of any provisions of law. All the statutory compliances have been made under section 230-232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The Scheme of Amalgamation between the Petitioner Companies was duly approved by the shareholders of the respective companies.

7.4 In view of the absence of any other objections from regulatory authorities and statutory authorities, except that of the IT and since all the requisite statutory compliances have been fulfilled, this Tribunal ***sanctions the Scheme of Amalgamation*** appended with the Company Petition as well as the prayer made therein.

7.5 The Appointed date of the said Scheme is **1st October 2021**. The said Scheme of Amalgamation will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditor/s in any manner.

7.6 Taking into consideration all the above, the Company Petition is allowed and the Scheme of Amalgamation annexed with the

petition is hereby **sanctioned** which shall be binding on all the members, creditors and shareholders.

7.7 While approving the scheme as above, we clarify that this order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

7.8 The Companies to the said Scheme or other persons interested, shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme. The Petitioner Companies shall file with the Registrar of Companies, the certified copy of this Order, within 30 days of the receipt of the order.

7.9 The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

8. THIS TRIBUNAL DO FURTHER ORDER

(i) That all properties, rights and interests of the Transferor Companies 1, 2 & 3 shall, pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company in terms of the Scheme; and

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Companies 1, 2 & 3 shall pursuant to Section 232(3) of the Companies Act, 2013 without further act

or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company in terms of the Scheme; and

(iii) That all proceedings now pending by or against the Transferor Companies 1, 2 & 3 shall be continued by or against the Transferee Company; and

(iv) That all the employees/workmen of the Transferor Company 1,2 &3 in service on the date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service with all the benefits, as existing on the date.

(v) That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) The 'Effective date' shall have the meaning assigned to such term in Clause 3.3. -the date on which all the conditions and matters referred to in clauses 16 & 17 occur or have been fulfilled or waived in accordance with the scheme. References in this scheme to "upon the scheme becoming effective" or "upon the scheme coming into effect" shall mean the "effective date".

(vii) That there shall be no allotment of shares to the members of the Transferor Companies. Since the Transferor Companies are wholly owned subsidiaries of the Transferee Company. The same is described vide Clause 11 of the Scheme.

(viii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, concerned and further make the requisite

payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Companies.

(ix) That the Petitioner Companies, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Companies 1, 2 & 3 shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Companies registered with him on the file kept by him in relation to all the Transferee Company and the files relating to all the said companies shall be consolidated accordingly.

(x) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

9. Accordingly, the Scheme annexed with the petition stand **sanctioned** and the Company Petition No. **CP(CAA)/68(CHE)/2022** stands **allowed.**

- Sd -

SAMEER KAKAR
MEMBER (TECHNICAL)

- Sd -

SANJIV JAIN
MEMBER (JUDICIAL)